



PHOTO BY SANDESH RAVIKUMAR

## BRIGHT PROSPECTS

- ▶ **Support through policies, increased budget allocation and big orders from PSUs have helped growth in the sector take off in a holistic manner**
- ▶ **Strategic buyouts have led to higher revenues and a more meaningful presence for firms operating in the sector**
- ▶ **The 75 per cent capacity utilisation in the manufacturing sector has been a big growth driver for the capital goods industry**
- ▶ **Increased government spending will continue to drive revenues and profitability of capital goods firms**
- ▶ **With more cities planning and building metro projects, 5G deployment, BharatNet and electrification, demand for the sector looks bright**

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nies has been markedly different in each case. For instance, Siemens Ltd has focussed on localising and expanding its mobility portfolio to bag large orders. Sunil Mathur, the company's MD and CEO, cites orders like the one worth ₹26,000 crore from the Indian Railways—to manufacture and maintain 1,200 locomotives—and the multiple orders from the metro projects in Mumbai and Ahmedabad, as big wins emanating from the company's renewed focus.

Meanwhile, for ABB India, the last four years have been about transforming its portfolio and decentralising its businesses. "A majority of our products are now fast-moving industrial goods, combined with focussed service businesses," says Sanjeev Sharma, its Country Head & MD, adding that

the company has now expanded into 23 market segments to make the most of the government's focus on infrastructure.

Consequently, as a cyclical sector, there are now factors working in favour of the industry. Sanjay Moorjani, Research Analyst at Samco Securities, says a big driver for the space today has been the 75 per cent capacity utilisation visible in the manufacturing sector. "The private sector deleveraging its balance sheet, combined with the 'China plus one' strategy, has helped with the surging orders," he adds.

Even the usually conservative public sector undertakings (PSU) have benefitted from the government's thrust on improving the country's infrastructure and fast-tracking of projects. Amit Anwani, Research Analyst at Prab-

hudas Lilladher, cites Hindustan Aeronautics' order book of over ₹80,000 crore, or Engineers India's orders growing ₹1,500 crore to over ₹4,500 crore in the past two years to drive home the point. "Even BHEL (Bharat Heavy Electricals Ltd) has a significant opportunity to enhance capacity and rationalise costs," he adds.

Although, historically, government-owned entities have been bogged down by poor fundamentals, including in operational performance, they've improved significantly in recent times. "There has now been an effort towards debt reduction, an emphasis on indigenous defence production, and localisation, resulting in improved fundamentals. Plus the order book has taken off, ensuring revenue visibility," Anwani points out, while